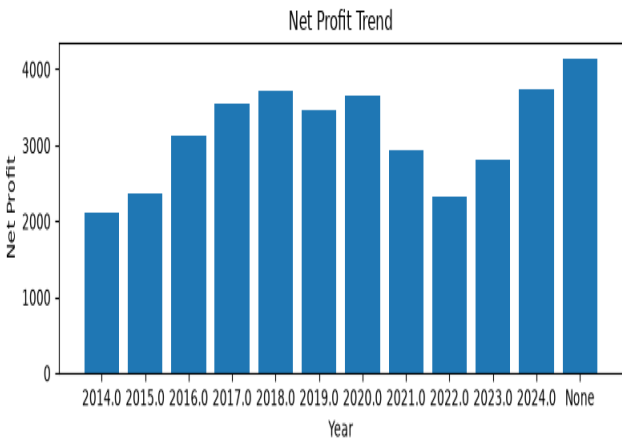
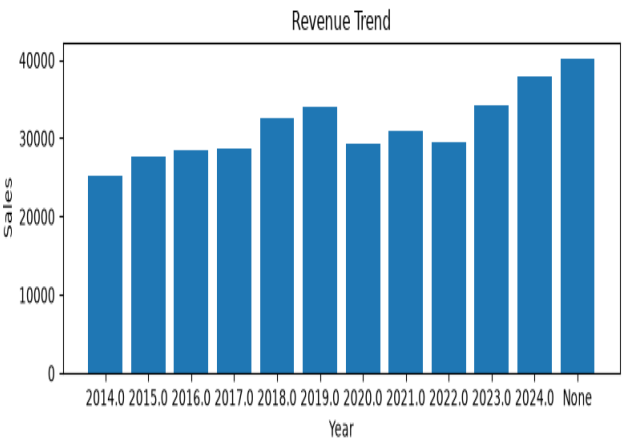


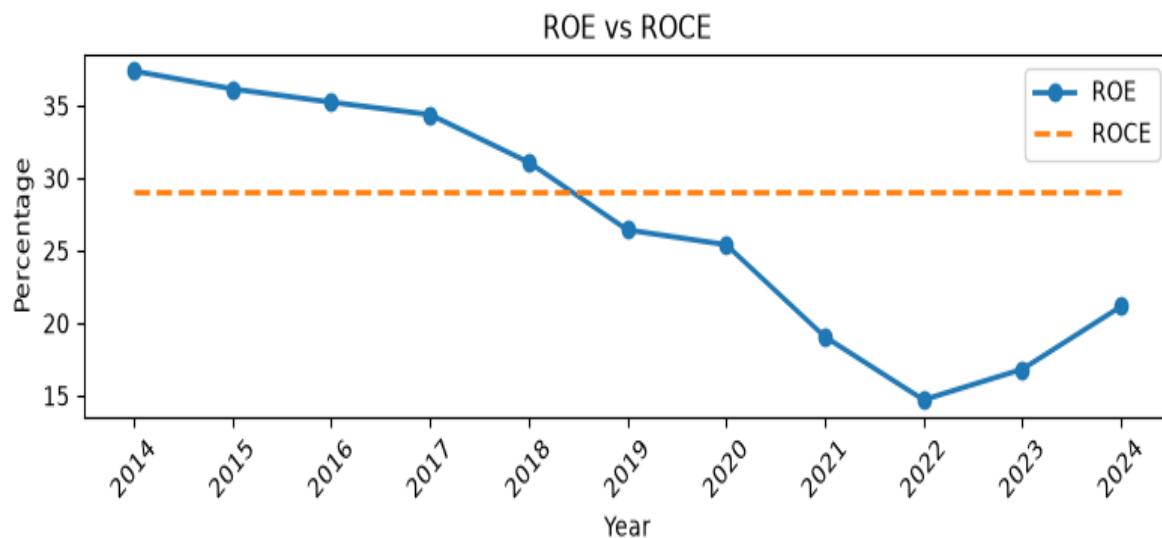
# Hero MotoCorp Ltd

## Investment Summary

|                    |                     |
|--------------------|---------------------|
| Overall Rating     | ★                   |
| Quality Score      | 35/100              |
| Financial Health   | Excellent           |
| Capital Allocation | Shareholder Returns |
| Recommendation     | AVOID               |

## 10 Year Financial Trends





## Capital Allocation Pattern

### Shareholder Returns

|      |        |
|------|--------|
| ROE  | 21.14% |
| ROCE | 29.10% |
| NPM  | 9.90%  |
| OPM  | 86.15% |
| D/E  | 0.03   |
| EPS  | 187.00 |

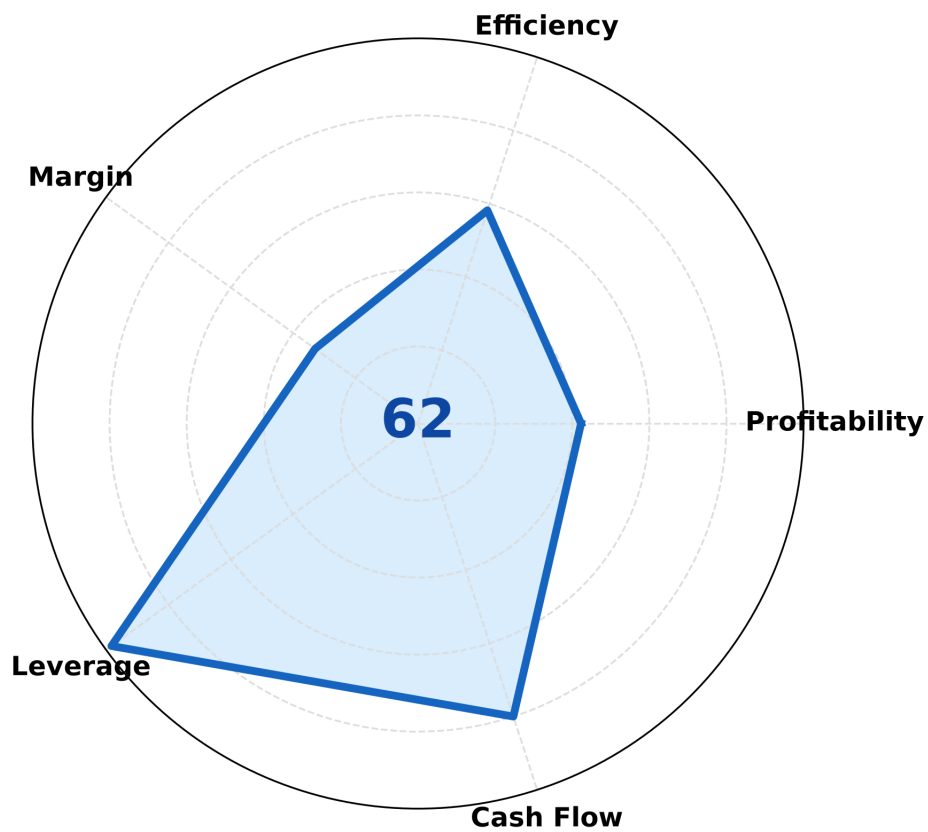
## Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Consistent dividend payout backed by positive free cash flow reflects strong cash generation.

## Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Revenue growing below 5% CAGR over the last five years suggests limited business momentum.

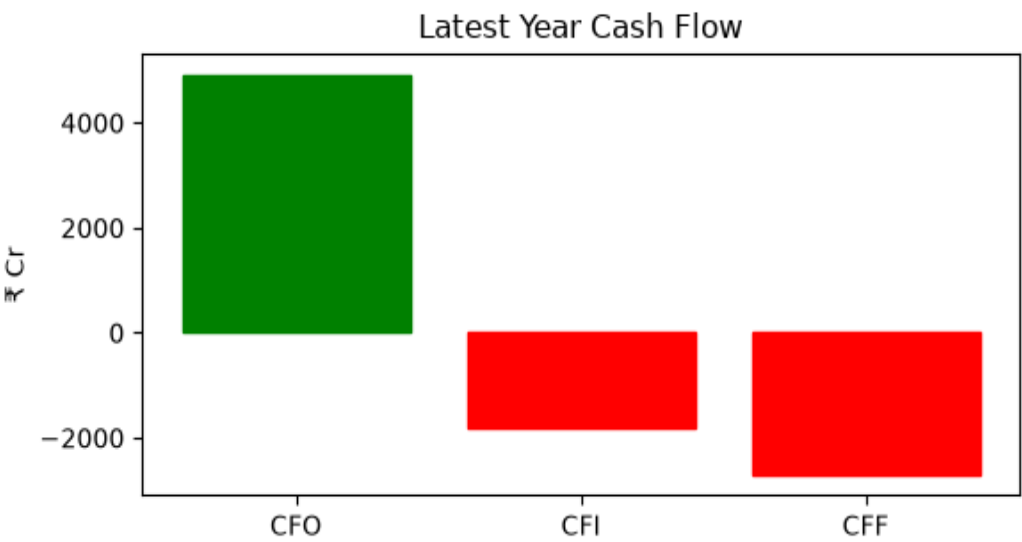
## Financial Strength Radar



## Peer Comparison

| Rank | Company               | ROCE   | ROE    | NPM    | D/E  |
|------|-----------------------|--------|--------|--------|------|
| 1    | Bajaj Auto Ltd        | 33.50% | 26.50% | 17.18% | 0.07 |
| 2    | Eicher Motors Ltd     | 31.10% | 24.20% | 24.20% | 0.02 |
| 3    | Hero MotoCorp Ltd     | 29.10% | 22.00% | 9.90%  | 0.03 |
| 4    | TVS Motor Company Ltd | nan%   | nan%   | 4.54%  | 3.83 |

## Cash Flow Analysis



# Stock Price Performance



# Valuation Dashboard

|                |                |
|----------------|----------------|
| Market Cap     | ■ 1,593,401 Cr |
| PE Ratio       | 53.86          |
| PB Ratio       | 12.60          |
| Dividend Yield | 1.91%          |
| Valuation      | Expensive      |